Throwbacks. Throwbacks occur two-thirds of the time, and when they do happen, it takes about 11 or 12 days for the stock to return to the breakout price. If a throwback occurs, performance suffers. However, price resumes the upward trend between 65% and 75% of the time.

Gaps. Does a gap on the breakout day indicate better performance? Yes. Head-and-shoulders bottoms with a breakout gap perform better than do those without a gap. I use the opening price the day after the gap in the measure to the ultimate high, so you can participate in the better performance of patterns with gaps by buying after the gap appears.

Table 39.5 shows size statistics for the head-and-shoulders pattern.

Height. Most chart patterns perform best when the pattern is taller than the median, and the head-and-shoulders is no exception. In bear markets, for example, tall patterns see price rise an average of 32%, but short ones rise just 24%. I measured height from the highest high to the lowest low in the pattern, then divided by the breakout price, so I was comparing apples to apples.

Width. The results for width are not consistent across market conditions. Bull markets show wide patterns leading to better performance, and bear markets show narrow ones outperforming.

I used the median length to separate narrow from wide patterns.

Height and width combinations. I looked at the combinations of height and width and found that patterns both tall and wide do well in bull markets. Bear markets prefer tall and narrow patterns. The worst performers are short patterns, but check the tables for actual numbers because they vary for different market conditions.